

On the other hand we assign a high score of 5 for the LPIA's capability to overcome potential behavioral mistakes that investors are prone to making. That is, many of us are susceptible to making irrational decisions and errors with our investments in the absence of restrictions or a guiding system in place. This can decrease the chances of meeting our spending goals in retirement. When the initial irreversible payment is made to the insurance company issuing the LPIA, the control over the investment management decisions is also transferred away from the investor. This leaves virtually no room for behavioral biases and blunders.

The SWiP once again earns the reversed ranking on this set of goal-achievement attributes. With a SWiP, the investor can meet liquidity needs and estate goals with the greatest ease because she retains control over asset allocation and withdrawal rate. But it is this exact same reason that leads to a score of only 1 for the SWiP's low effectiveness in helping the investor to avert behavioral mistakes.

Finally, only the GLiB's evaluation on goal-achievement attributes remains. First, the liquidity of an account with a GLiB benefit is somewhat restricted because of withdrawal limits imposed by the rider. Moreover, variable annuities restrict withdrawals beyond a certain limit by charging surrender fees. However, the policyholder does have a certain level of flexibility, even if it may come at a price. Thus the GLiB surpasses the SPIA with a score of 1 on this trait.

A GLiB rider can also be effective in addressing behavioral weaknesses, hence its score of 3. When purchasing a GLiB, the investor effectively purchases peace of mind, knowing he is protected in the fragile risk zone against poor market performance. As a result the investor needs not make any (possibly detrimental) moves to try and adjust his retirement investment and spending strategy.

Interestingly, the GLiB's estate goal achievement attribute is somewhat interconnected with the behavioral attribute. Analysis of extensive industry data suggests that because the investor is protected against a market downturn during sensitive years, she is more likely to opt for a riskier asset allocation within the variable annuity. This allocation could potentially result in higher growth over the long term that could be bequeathed at death. Of course, in some cases the variable